State was forced to accept British troops on its soil as well as having to pay a hefty annual sum to pay for the cost of the EICo's intervention. When Velu Thampi appealed to the British Resident to have the amount of this subsidy reduced he was refused and warned that retribution must follow if the payment was not made in full.

Velu Thampi Dalawa and the Dewan of Cochin now began to lay plans to expel the British from their respective territories and kill Colonel Macaulay in the process. Macaulay had by now established himself in the British Residency at Cochin, an imposing Dutch-built bungalow on stilts known as the Bolghatty Palace, today the centrepiece of a resort run by the Kerala Tourist Development Corporation. An assault was made on the Residency while Macaulay was having dinner but was so mishandled that Macaulay escaped uninjured.

Velu Thampi's response to this debacle was to write a letter of apology and offer his resignation.[8] However, in the meantime a company of the 12th Regiment of Foot (afterwards the East Suffolk Regiment) had been sent by sea to Travancore to help deal with the disturbances. While proceeding up the Malabar coast in a flotilla of small boats they were hit by a storm and dispersed. One boat containing a platoon of thirty-three men commanded by Sergeant-Major Tildsley was guided into harbour at Alleppey, but as soon as they came ashore the soldiers were overpowered and each man had his wrists broken with an iron bar. After several days of imprisonment without food or water they were 'tied back to back and thrown into a deep tank, and, of course, all drowned'.[9]

Admirers of Velu Thampi Dalawa have dismissed this incident along with the killing of local Christians as propaganda put about by Macaulay and others to blacken their hero's name. However, the regimental records of the 12th Regiment of Foot, backed up by the memoirs of its